PRINCIPLES OF ECONOMICS

Salimah Musharrif

FPEC 101 – LECTURE 2

Unit 1

The Market system & Circular Flow

Outline

- Fundamental questions
- Planned Economic System
- Free Market System
- Mixed Economic System
- Circular Flow of Income

The Fundamental Questions

An economy is an area in which people make or produce goods and services. It may be of any size. The major problem in all the economies is what, how and for whom to produce in order to allocate scarce resources.

- What goods and services will be produced?
- How will the goods and services be produced?
- Who will get the goods and services?
- How will the system accommodate change?
- How will the system promote progress?

Economic systems- Command

- Under this type of economy, the government decides the fundamental questions.
- Ownership and control of economic resources is by the government.
- Government provides jobs, houses, transport and all other necessities to the people.
- There is no private ownership
- Profit is redistributed in the economy

Economic systems- Command

- **Features**
- Public ownership of all resources
- Public wealth is greater than private wealth
- There is a high degree of government control
- There is equal distribution of wealth
- There is a large bureaucracy, that is, planning committees etc
- There's a lack of consumer goods and luxuries as the focus is on the provision of public and merit goods
- There is greater economic stability as the government controls and so there are no shortages and surpluses, booms and slumps etc

Economic systems- Command

- **Advantages**
- Equitable distribution of wealth and equality for all
- Full employment
- Proper utilization of resources
- Diseconomies or external costs are lower as the government takes care not to pollute etc even if profit is low
- Consumers are protected from monopolies

Economic systems- Command

- **Disadvantages**
- Sooner or later trade must take place
- A large bureaucracy means more corruption
- There is no profit incentive
- The system is unfair as even if a person has the ability to get a higher income, he is unable to do so
- Lesser variety of products
- Lesser individual freedom
- The government may misallocate resources as it may miscalculate the amounts of products needed to be produced
- The opportunity cost of planners is high, meaning that the time which the bureaucracy spends in planning may be used by them to produce something

Economic systems-Market /Capitalistic/Laissez faire

- A market economy depends on producers and consumers to make decisions about what, how and for whom to produce. There is no thought of a free economy in the world in its truest sense, but U.S.A comes the closest to it.
- Ownership and control of the economic resources

All resources are privately owned by the people and the firms. Products that are in demand are produced. People own private property, business, cars etc

- **Features**

- Private Property
- Freedom of enterprise and choice, job, business, spending etc
- Competition
- Very limited role of government
- Reliance on price system – Invisible hand

Economic systems-Market /Capitalistic

- **Advantages**
- Freedom of choice
- Lesser corruption as no one has absolute power
- Profit motive ensures efficient production
- Competition results in greater variety of products and specialization
- Competition also keeps prices in check
- Flexible to changes
- There is no need for a large bureaucracy

Economic systems-Market /Capitalistic

- **Disadvantages**
- Provision of public or social goods will be neglected and emphasis will be on luxuries
- May lead to greater unemployment as skilled laborers will be mostly employed
- Class differences are greater
- Greater chance of monopolies and so consumer exploitation
- Price instability due to constant changes in demand
- Misallocation of resources as some resources needed for production of necessities may be used to produce luxuries
- Small firms may not be able to survive competition

Economic systems- Mixed

- The mixed economic system combines government planning with the use of free market. Hence, the allocation and ownership of resources is in the hands of both the public and the private sector.

- **Ownership and control of the economic resources**

In the mixed economy people and firms can earn resources and property in their name. Similarly, along with this, the government also owns certain resources to produces those goods and services which will not be provided by the private sector, but are necessary for the people. It is an Open economy with some control applied by the government

Economic systems- Mixed

- **Features**
- Comparatively less unemployment
- Public goods are provided easily
- Consumer choice exists while the government protects against too many fluctuations
- Ban on demerit goods
- Environmental responsibilities are undertaken
- Government encourages competition to prevent monopolies

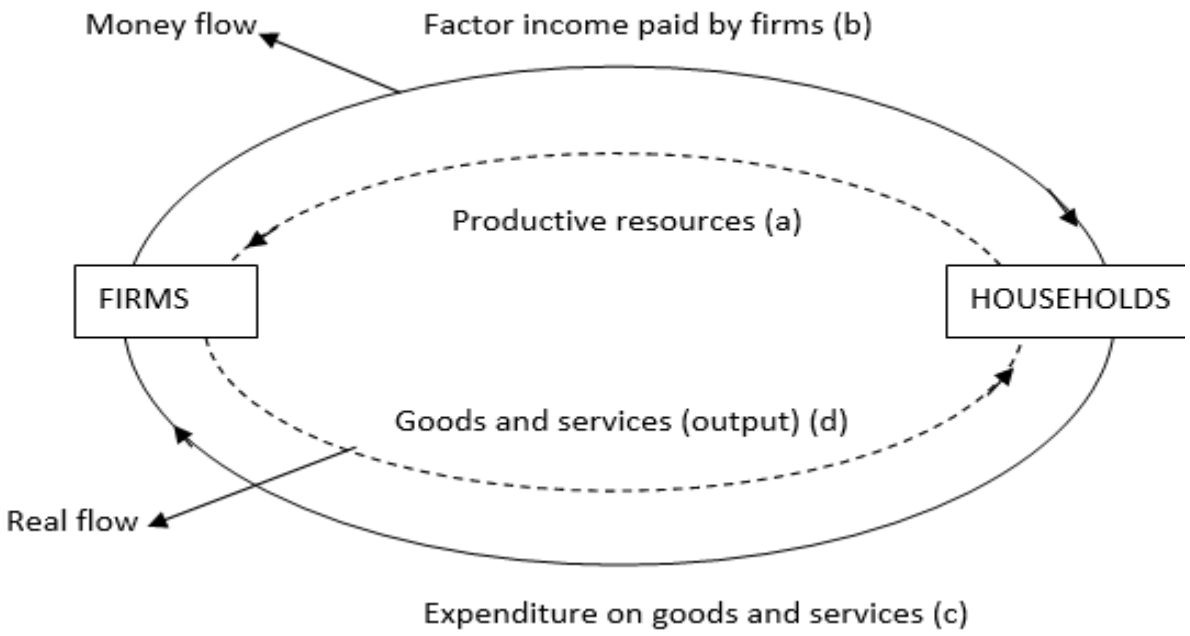
Economic systems- Mixed

- **Advantages**
- Basic Necessities are provided for all
- Ban on demerit goods
- Competition keeps prices in check
- Profit acts as a motivator and so resources are efficiently utilized
- Rights of the consumers and workers are protected
- Benefits of international trade can be gained, for example greater production, exports, imports and varieties of goods
- The government can earn revenue from taxes
- There is lesser unemployment of resources as both sectors are involved
- The government will ensure that the private sector take into account the costs they cause to society by imposing certain laws
- Redistribution of income is done by taxing the rich and providing services or money to the poor

Economic systems- Mixed

- **Disadvantages**
- The government needs to tax people and firms, which may sometimes be high and discourage them from working
- Mixed economy systems tend to encourage more state monopolies, higher and higher tax to GDP ratio and dominant public finances, making the Govt. the overwhelmingly large economic player as compared to corporate or individual entities.
- Mixed economy system has a natural tendency to move further and further away from reliance on competitive market mechanism to greater and greater bureaucratic controls and interventions. This encourages corruption of the bureaucrats
- Since welfare of society is important in a mixed economy it leads to lower than optimum use of the resources because government mobilize the resources towards the production of those goods and services which are beneficial for the society as a whole rather than producing those goods and services which in economic terms are more beneficial for an economy.
- Under mixed economy private enterprises have to face lot of difficulty because of various government loopholes like favoritism and bureaucratic nature which is prevalent in mixed economy.

The Circular Flow Of Income



The Circular Flow Of Income

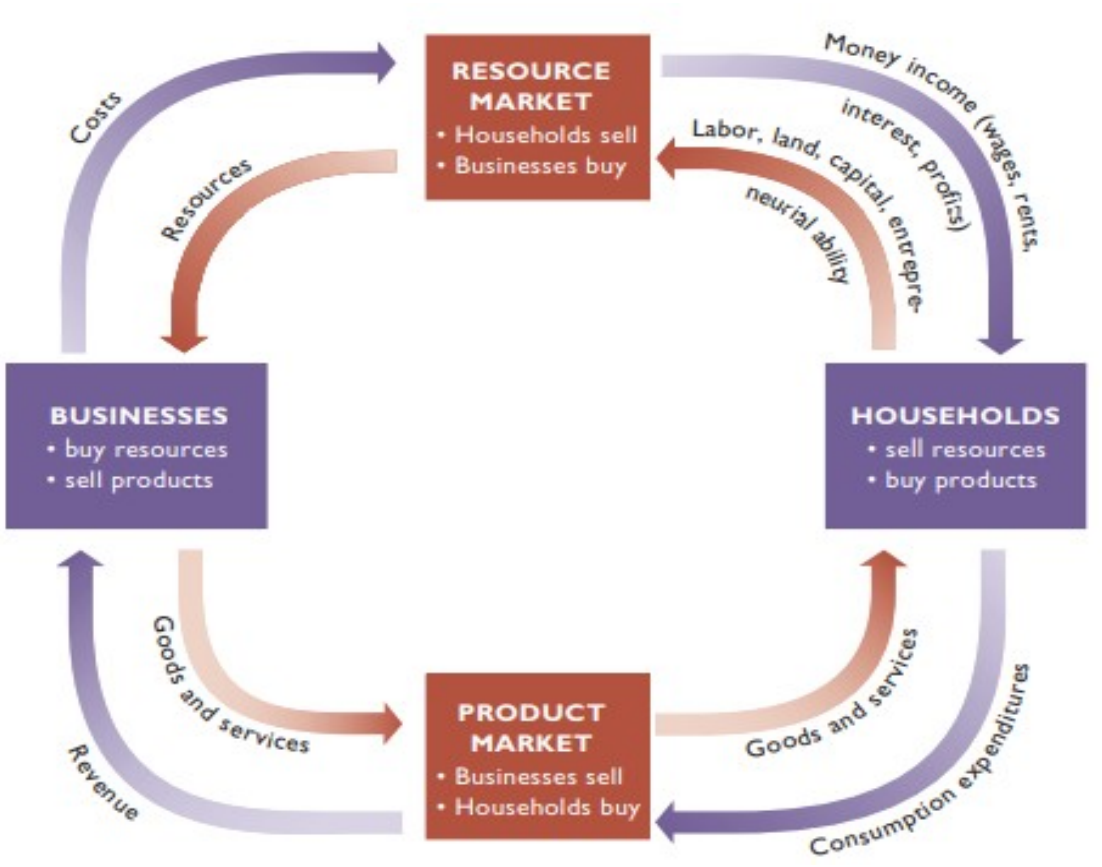


Fig 2.2, Page 39
Economics by Mc. Connell & Brue 17th edition

The Circular Flow Of Income

Resource Market

- Resources or the services of resource suppliers are bought and sold.
- Households own all economic resources either directly pr indirectly
- Workers, entrepreneurs directly, through ownership of business corporations indirectly.
- Businesses pay for these resources as costs to businesses but flows of income in the form of wage, rent, interest, and profit income to the households.
- Productive resources flow from households to businesses, and money flows from businesses to households.

The Circular Flow Of Income

Product Market

- Place where goods and services produced by businesses are bought and sold.
- Businesses combine resources to produce and sell these goods and services.
- Households use the income earned to purchase goods and services.
- The monetary flow of consumer spending on goods and services yields sales revenues for businesses.

Summary

- Fundamental questions
- Planned Economic System
- Free Market System
- Mixed Economic System
- Circular Flow of Income